

Supply risk review - packaging.

Supplier B operates a single plant. It declared two force-majeure stoppages in the last three years, of 9 and 14 days.

A 9-day packaging stoppage would cost us 1.6 EUR M of gross margin; a 14-day stoppage 2.4 EUR M.

The incumbent operates two plants and can cover up to 60% of our volume at two weeks' notice.

If kept at 30% of our volume, the incumbent has offered a 4% price reduction on that volume.

Switching costs (tooling and line qualification): 0.8 EUR M one-off for a full move, 0.5 EUR M for a partial move.